

DEPARTMENT OF VETERANS AFFAIRS

**Justification and Approval (J&A)
For
Other Than Full and Open Competition (>SAT)**

Acquisition Plan Action ID: 36C24425AP1899

1. Contracting Activity:

Department of Veterans Affairs, Veterans Integrated Service Network 04, all medical centers. The following purchase requests have been submitted in support of reference laboratory services for the next 12 months:

VAMC	Amount	Purchase Request Number
Altoona	\$522,557.62	503-25-2-028-0024
Butler	\$202,363.98	529-25-2-051-0121
Coatesville	\$111,243.38	542-25-2-024-0031
Erie	\$313,088.49	562-25-2-023-0083
Lebanon	\$690,639.24	595-25-2-024-0019
Philadelphia	\$859,626.76	642-25-2-034-0038
Pittsburgh	\$987,633.87	646-25-2-084-0258
Wilkes-Barre	\$389,806.60	693-25-2-050-0304
Wilmington	\$753,761.72	460-25-2-164-0138
Total	\$4,830,721.66	

2. Nature and/or Description of the Action Being Processed:

Award of a new, Firm-Fixed Price Indefinitely Delivery/Indefinite Quantity contract for Reference Laboratory Testing services to Laboratory Corporation of America.

Services include pickup and transport of specimens to contractor's laboratory; pre-analytic processing defined in contractor's laboratory user's manual; analysis, reporting analytic results, and consultation regarding selection, collection, transportation, and result interpretation.

3. Description of Supplies/Services Required to Meet the Agency's Needs:

Reference Laboratory Testing services that include pickup and transport of specimens to contractor's laboratory; pre-analytic processing defined in contractor's laboratory user's manual; analysis, reporting analytic results, and consultation regarding selection, collection, transportation, and result interpretation.

Estimated value for new 12-month bridge is \$4,830,721.66. Period of performance is 3/1/2025 – 2/28/2026. The current bridge (V797D-50532 36C24424F0171) expires 2/28/2025.

4. Statutory Authority Permitting Other than Full and Open Competition:

(X) (1) Only One Responsible Source and No Other Supplies or Services Will Satisfy

5. Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority):

VISN 04 intends to award a long-term, competitive contract for Reference Laboratory Testing services. Several protests have been lodged across the country against pending VA Reference Laboratory Testing service contracts based on statutory requirements for VA to set aside contracts for SDVOSB concerns. These protests have impacted VISN 04 efforts to award a new contract via competition, and a "sole source" follow-on contract is required in order to continue these critical healthcare services.

Because the government is precluded from facilitating a new, open market price competition for these services due to ongoing litigation, Laboratory Corporation of America is the only contractor capable of maintaining continuity of services.

Reference testing is some of the most utilized testing within the healthcare system and any lapse in availability would have detrimental effects on patient care. New equipment must be installed and validated, then the staff trained which can take several months. For of the substantial ramp-up time necessary for a new contractor to become operational, the incumbent vendor, Laboratory Corporation of America, is the only possible source to cover the VISN until the long-term contract is awarded and new equipment would be installed. The printer system must provide all elements of the transmission path, including the transmitter and associated receivers. Contractor's printer system must be capable to print copies of the laboratory reports and provide reprint capability of a report at the VISN 04 VAMCs' laboratories. Laboratory Corporation of America can provide interconnectivity between their system and to VA's VISTA system. The incumbent vendor has ordering capabilities through HL7 interface for VISN 04 VAMCs' laboratories. VISN 04 requires acid-fast bacteria (AFB) stains to run more than 4 times per week as it must meet the 24-hour requirement of the Joint Commission. The incumbent vendor can perform this action as required by the Joint Commission.

6. Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable:

A Sources Sought Notice was posted to SAM.gov on February 16, 2025 in accordance with FAR 5.201, as no exceptions were applicable.

7. Determination by the CO that the Anticipated Cost to the Government will be Fair and Reasonable:

Test prices were compared to prices found on LabCorp FSS contract with the VA National Acquisition Center. In accordance with FAR 8.404(d): "GSA has already determined the prices of supplies and fixed-price services...under schedule contracts to be fair and reasonable." Pricing for all tests were confirmed to match the FSS Schedule cost, or were proposed with price points significantly less than FSS rates. Although the contract resulting from this action will not be based on Federal Supply Schedule terms and conditions, the pricing listed on the LabCorp FSS contract was used to determine the cost to the Government will be Fair and Reasonable.

8. Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted:

Although several vendors have expressed interest in the long-term contract, which includes a ramp-up period and which is currently being competed, no vendors other than the incumbent are capable of changing out the existing equipment in time to compete for this new bridge contract, which by necessity, does not include a ramp-up period.

As described in Section 6 above, market research, in accordance with FAR Part 10, was conducted by synopsis of the proposed acquisition, advising industry of the pending acquisition and soliciting inquiries from interested parties.

The VetCert database was queried against NAICS 621511 (Medical Laboratories), yielding 323 results.

9. Any Other Facts Supporting the Use of Other than Full and Open Competition:

Per the requirements owner: the current bridge contract (V797D-50532 36C24424F0171) expires on 02/28/2025. The reason for a new bridge is due to the protests received, no bidders could fulfill what was in the solicitation, and corrective action that has needed to take place with tight time constraints. A new bridge will ensure uninterrupted continuation of reference laboratory testing services as well as patient safety.

10. Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:

No responsive sources have expressed interest in writing. The posted synopsis of proposed contract action may invite additional respondents.

11. A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required:

The Agency expects ongoing protest litigation to be resolved in the coming 12-month timeframe. Following resolution, the Agency intends to facilitate a competitive acquisition for a new, five-year contract term.

12. Requirements Certification: I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

CHRISTINE HAAS Digitally signed by CHRISTINE HAAS
Date: 2025.02.20 08:25:06 -05'00'

Christine Haas
VISN 4 Health System Specialist
VISN 4

Date

13. Approvals in accordance with the [VHAPM Part 806.3 OFOC SOP](#):

- a. **Contracting Officer Certification (required)**: I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

BENJAMIN IACHINI Digitally signed by BENJAMIN IACHINI
Date: 2025.02.20 08:28:24 -05'00'

Benjamin P. Iachini
Contracting Officer
Network Contracting Office 4

Date

- b. **VHA RPO HCA Review and Approval**: I have reviewed the foregoing justification and find it to be complete and accurate to the best of my knowledge and belief and approve (\$750K to \$75 million) for other than full and open competition.

Gerald F. Jacobs
Regional Procurement Office East
VHA Head of Contracting Activity (HCA)

Date